

SIR SYED UNIVERSITY OF ENGINEERING & TECHNOLOGY
COMPUTER SCIENCE & INFORMATION TECHNOLOGY DEPARTMENT

Fall 2025
Economics & Management (HS-412)
Assignment # 1

Semester: VII

Batch: 2022F

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Section: E

CLO #	Course Learning Outcomes (CLOs)	PLO Mapping	Bloom's Taxonomy
CLO 1	Explain the fundamental concepts of economics.	PLO_2 (Academic Education)	C2 (Understanding)

Q1. Answer following questions.

(a) Relate linkage between Money -Time relationship.

The linkage between money and time is known as the Time Value of Money (TVM). It means that the value of money changes over time — a rupee today is worth more than a rupee in the future because of its earning potential.

Explanation:

- Money has a time value because it can earn interest or returns if invested.
- Therefore, the earlier you receive money, the more valuable it is, as it can generate income over time.
- Conversely, money received in the future is worth less today due to factors like inflation, risk, and lost investment opportunities.

Example:

If you have \$1,000 today, you can invest it at 10% interest and have \$1,100 after one year.

So, \$1,000 today = \$1,100 after one year → showing how money and time are linked through earning potential.

(b) Identify reasons that lead to devaluation with passage of time.

The devaluation of money with the passage of time means that the purchasing power of money decreases — in other words, the same amount of money buys fewer goods and services than before.

Main Reasons for Devaluation of Money Over Time:

1. Inflation:

The most important reason. When general prices of goods and services rise, the value of money falls because each unit of currency buys less than before.

2. Increase in Money Supply:

When a government or central bank prints more money without a matching increase in production, excess money chases limited goods, leading to inflation and reduced value of money.

3. Fiscal Deficits and Government Borrowing:

When governments spend more than they earn and finance it by borrowing or printing money, it can reduce confidence in the currency and lead to its devaluation.

4. Balance of Payments Deficit:

When a country imports more than it exports, demand for foreign currency increases, causing the domestic currency to lose value.

5. Decrease in Interest Rates:

Lower interest rates make holding money less attractive, reducing demand for the currency and causing its value to drop.

6. Political and Economic Instability:

Unstable governments, corruption, or uncertain policies reduce investor confidence, causing depreciation of currency value.

7. Loss of Confidence in Currency:

If people or investors lose trust in a currency's stability, they shift to more stable foreign currencies or assets, lowering its value further.